

Netzero Finance Private Limited

September 04, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term / Short-term bank facilities	RBI	250.00	CARE BBB; Stable / CARE A3+	Reaffirmed
Non-convertible debentures	MCA	50.00	CARE BBB; Stable	Assigned

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Ratings reaffirmed and assigned to bank facilities and non-convertible debentures (NCDs) of Netzero Finance Private Limited (NFPL) continue to reflect the strength of its integrated Group structure (Aerem Group) comprising Aerem Solutions Private Limited (ASPL, holding company), NFPL (the financing arm), and Sun Store Solar Private Limited (SSPL, solar marketplace) and comfortable capitalisation supported by periodic equity infusions from a diversified investor base. NFPL benefits from the group's technology and operational capabilities, including the AeROC remote-monitoring platform, structured underwriting and engineering-led EPC oversight. Its secured lending model, backed by hypothecated and insured rooftop solar assets, Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) enforceability and borrower savings from solar installations, supports asset quality.

However, ratings remain constrained by NFPL's early-stage operations, limited portfolio seasoning and concentration in the commercial and industrial (C&I) segment and select geographies. Earnings profile remains modest due to ongoing scale-up investments and operating cost absorption, which may continue to weigh on profitability in the near term.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Sizable growth in scale of operations while maintaining asset quality parameters at comfortable levels.
- Improvement in group profitability (ASPL) and improvement in NFPL's profitability with NFPL reporting return on assets (RoA) greater than 1.5% on a sustained basis.

Negative factors

- Significant deterioration in group's and NFPL's profitability.
- Weakening linkages with ASPL.
- Deterioration in capitalisation metrics with gearing increasing above 4x.

Analytical approach: Standalone

CARE Ratings Limited (CareEdge Ratings) has taken NFPL's standalone assessment and also factored in financial, operational, and technological support from its parent entity, ASPL.

Outlook: Stable

The stable outlook reflects the company's ability to demonstrate consistent business growth while maintaining comfortable asset quality and improving profitability metrics.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Key strengths

Comfortable capitalisation levels and demonstrated ability to raise capital from a diversified investor base

NFPL's capitalisation profile remains comfortable, supported by a well-diversified shareholding structure at the holding company level (ASPL) and demonstrated ability to attract periodic equity infusions.

On a fully diluted basis, as on August 26, 2026, the shareholding is distributed across a broad set of investors in ASPL, with the founder and CEO, Anand Jain, holding 25.54%, followed by institutional investors such as Blume Ventures (17.70%), Avaana Sustainability Fund (11.84%), UTEC 5 LLP (10.32%), British International Investment PLC (5.64%), SMBC Asia Rising Fund (4.56%), Riverwalk Fund I & II (5.81%), and SE Ventures Fund (3.26%), among others. Presence of multiple credible investors provides comfort in terms of governance oversight and financial support.

On a combined basis, ASPL's tangible net worth (TNW) stood at ~₹232 crore as on June 30, 2026, while NFPL reported a TNW of ~₹100 crore. ASPL received an equity infusion of ~₹135 crore in Q3FY26 and Q4FY26, and the group has cumulatively raised ~₹279 crore till date since inception (FY18), reflecting continued investor support.

NFPL's capital adequacy ratio (CAR) remained strong at 34.43% as on March 31, 2026, and 31.84% as on June 30, 2026, significantly above the regulatory minimum requirement of 15%. The healthy capital buffer provides adequate headroom to absorb potential asset quality volatility and support near-term portfolio growth.

The borrowing profile is moderately diversified across lender categories, with non-banking financial companies (NBFCs) accounting for 52.99% of total borrowings, private sector banks 22.90%, and small finance banks 24.11% as on June 30, 2026. Gearing levels remained moderate at 1.75x as on March 31, 2026, and 1.89x as on June 30, 2026. The management has guided for maintaining gearing below 4x for NFPL in the medium term.

As the company scales its solar rooftop financing portfolio across micro, small and medium enterprise (MSME) and residential customers, capital requirements are expected to rise. However, the diversified investor base, institutional backing, and established track record of capital mobilisation provide comfort. The entity's ability to raise timely capital while maintaining leverage within the guided levels will remain a key monitorable.

Experienced management team

The company is supported by an experienced leadership team with domain expertise across renewable energy, financial services, credit underwriting, and distribution. The Founder and CEO, Anand Jain, has over two decades of experience spanning investment banking, renewable energy development, and financial services, with prior associations including Barclays Capital, Lehman Brothers, ICICI Bank, KPMG, SunEdison, SkyPower Global, and Kiran Energy. His background includes structuring renewable energy transactions, overseeing large development pipelines (exceeding 2.5 GW), and engagement with policy and sectoral stakeholders, which provides strategic depth to the group's clean energy financing platform.

Vikesh Agrawal, Co-founder and COO, brings over 20 years of experience across financial advisory and lending institutions, including PwC, EY, Edelweiss, and APAC Financial Services, supporting operational execution and financial oversight.

The senior management team is further strengthened by experienced professionals across credit underwriting, risk, and operations. Anupam Agrawal, Chief Operating Officer, is a Chartered Accountant, Chartered Financial Analyst, and ISB alumnus with nearly two decades of experience across FinTechs and regulated financial institutions, including Edelweiss, CARS24 Financial Services, Drip Capital, and Cashfree Payments. Hardik Desai brings over 20 years of experience in loan sales and distribution, with prior exposure to PNB Housing Finance and Edelweiss.

Collectively, the leadership team's blended experience across renewable energy development, structured finance, credit underwriting, and distribution provides operational capability to scale the rooftop solar financing portfolio while maintaining underwriting and risk management discipline.

Adequate internal control systems and underwriting processes

NFPL follows a technology-enabled and sector-focused underwriting approach tailored to solar rooftop assets. The credit evaluation is anchored in structured “3C” framework— Counterparty, Cash Flow, and Collateral — where counterparty assessment acts as the primary filter with no deviation permitted. Solar engineering-led assessment forms a core part of appraisal, including evaluation of system design, installation quality, Engineering, Procurement, and Construction (EPC) capability, and electricity generation predictability. The use of vetted EPC partners and original equipment manufacturers (OEMs), and repayment structures aligned to energy savings for micro, small and medium enterprises (MSMEs) and households, provides additional comfort on asset performance and collection behaviour.

NFPL’s risk oversight is reinforced by the Aerem Group’s technology infrastructure, which provides remote generation tracking through AeROC monitoring system (covering real-time plant performance) with centralised dashboards, and installation quality assurance. Real-time inverter alerts enable prompt intervention in case of outages, reducing operational and performance risk. Real-time inverter alerts facilitate timely operational intervention due to system underperformance or outages. The empanelled installer network, supported by digital onboarding and workflow tools, allows for process standardisation across origination and execution stages. Shared technology systems and centralised data analytics at the group level further enhance monitoring and portfolio oversight. Platforms such as SSPL (B2B marketplace) and AeROC improve visibility over underlying solar assets and installation quality. Collectively, these systems support underwriting discipline, early risk identification, and operational control as the portfolio scales.

Asset quality healthy but yet to be tested across economic cycles

NFPL’s asset quality remains healthy, supported by solar-linked underwriting and close monitoring system performance. However, gross non-performing assets (GNPA)/net NPA (NNPA) has increased from 0.63%/0.57% as on March 31, 2025, to 1.36%/1.20% as on March 31, 2026, and further to 1.72%/1.48% as on June 30, 2026. Increase was driven by isolated events, including the demise of a promoter and an alleged borrower–EPC collusion, rather than broad-based portfolio stress. NFPL has made partial recoveries through the sale of the underlying solar asset and recovery from the EPC vendor. Notwithstanding the partial recoveries, the portfolio remains relatively unseasoned, having scaled meaningfully since FY24, and its performance across economic cycles remains monitorable.

The company previously repossessed solar assets and recovered the full principal in such cases. For projects above 80 kW, typically involving loans of ~₹20 lakh or more, its ability to remotely monitor and disable plant output provides additional recovery leverage. the portfolio remains relatively unseasoned, having scaled significantly since FY24. Its performance across economic cycles and the scalability of recovery mechanisms across C&I and residential loans, and continued underwriting discipline, EPC controls and portfolio monitoring, remain key rating monitorable.

Key weaknesses

Moderate scale of operations

The company has expanded its rooftop solar lending across 16 states, with Maharashtra and Uttar Pradesh contributing 37.66% and 14.94% of assets under management (AUM), respectively. Loans are extended in the ₹10 lakh–₹500 lakh range (C&I), with an average ticket of ₹75 lakh, loan to value (LTV) of 75-85% and yield of ~16-17% p.a (including fees), with 83.23% customers falling in 650+ bureau bucket. The company reported a loan book of ~₹142 crore as on March 31, 2025, and ~₹294 crore as on March 31, 2026, and further increased to ₹319 crore as on June 30, 2026 (C&I: 78.33%, Supply chain financing: 9.00%, Residential: 8.22%; and Lease: 4.44%), with majority customers in metals and construction, food and beverage and packaging. Project gestation remains short (2–3 months), limiting construction risk relative to other models. However, the company’s portfolio is relatively unseasoned, concentrated in a few states, and has not been tested across economic cycles.

Government policy support, including central and state-level rooftop solar subsidy programmes such as the PM Surya Ghar Scheme and MNRE Rooftop Solar initiatives, improves project viability by reducing upfront installation costs, particularly in the residential segment. While such incentives support demand and portfolio growth, delays or revisions in subsidy disbursement could impact borrower cash flows and origination momentum. While such incentives support demand and portfolio growth, delays or changes in subsidies, evolving domestic content requirement (DCR) norms, net-metering and time-of-day tariff regulations, and additional storage requirements may affect project viability and borrower cash flows. Other key risks include dependence on EPC vendors and installers, equipment supply-chain disruptions, price volatility, delays in module availability and deficiencies in system design or execution. These risks are accentuated as lenders expand into smaller enterprises and residential borrowers with limited financial buffers.

Reserve Bank of India's (RBI's) draft directions dated August 06, 2026, propose restrictions on revolving credit facilities offered by NBFCs. NFPL's financing is primarily structured as project-specific term loans, with separate appraisal, sanction and repayment schedules for each project; hence the proposed directions are expected to have a limited impact. However, performance of the rapidly scaled and relatively nascent portfolio amid regulatory changes, subsidy delays, supply-chain disruptions and stressed operating conditions remains monitorable.

Adverse regulatory revision may weaken origination quality or delay repayments, especially in the residential and micro-enterprise segments. As lenders increasingly penetrate micro and small enterprises with limited financial buffers, sensitivity to cash-flow volatility becomes more pronounced.

Weak earnings profile expected to improve

On a standalone basis, NFPL reported a profit after taxation (PAT) of ₹1.29 crore in FY26 (FY25: ₹1.23 crore) and ~₹0.46 crore in Q1FY27. In FY26, the company reported a net income margin (NIM) of 4.81% and in line with early growth stage, operating expenses remained high at 4.71% of average total assets while, credit costs remained controlled at 0.31%, reflecting limited seasoning resulting in a return on total assets (ROTA) of 0.50%. In Q1FY27, the company reported a slightly improved annualised ROTA of 0.55%, with increased in NIM, reduced fee and other income and higher OPEX and credit cost.

At the consolidated level, ASPL reported a loss of ₹9 crore in FY26 (provisional), and profit before interest, lease rentals, depreciation and taxation (PBILDT) margin of 0.61% in FY26, and a cost-to-income ratio of 101.51%, reflecting elevated operating expenses relative to income. Further, in Q1FY27, ASPL reported a combined loss of ₹91 lakhs. On a standalone basis, ASPL reported a loss of ~₹11 crore in FY26 (₹12 crore in FY25) and ₹4 crore in Q1FY27.

ASPL is expected to monetise its entire platform going forward and new deals in pipeline and generate revenue. The Aerem Group is capturing direct customer sourcing, enabling it to absorb the full value chain across EPC, marketplace, and lending in an integrated manner. This strategy is expected to enhance overall group margins, with value unlocked through three distinct channels: distribution margins, lending margins, and EPC margins. Future opportunities for ASPL include building a service marketplace for maintenance and repairs, monetising OEM analytics, facilitating spare-part replacements, and enabling data-driven matchmaking between asset owners and EPC service providers. Given that solar plants are 25-30-year assets, lifecycle-based monetisation potential is expected to be substantial.

The group is expected to become profitable by FY27. Going forward, company's ability to achieve scale while maintaining controlled credit costs, limiting operating expenses, and securing funding at competitive rates will be critical in achieving steady and sustainable profitability.

Liquidity: Adequate

NFPL has unencumbered cash and cash equivalents and liquid investment of ₹20 crore as on June 30, 2026. The asset and liability management (ALM) profile reflects positive cumulative mismatches across all maturity buckets (excluding the off-balance sheet components). In addition, the inflow from advances stood to the tune of ₹104 crore against the outflow from borrowings of ₹85 crore up to one year.

Applicable criteria

[Definition of Default](#)

[Factoring Linkages Parent Sub JV Group](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Short Term Instruments](#)

[Non Banking Financial Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

NFPL is an NBFC focused on providing financing solutions for the distributed solar ecosystem in India. The company offers solar asset loans for businesses and residential segment, adopting rooftop or on-site solar systems and supply chain finance for installer

partners requiring short-term working capital to execute orders. NFPL uses a sector-focused and technology-enabled underwriting approach to assess project viability and support end-customers and solar EPC players. As on June 30, 2026, the company managed an AUM of ₹319 crore, reflecting its growing role in enabling small and mid-scale solar adoption.

Standalone financials of NFPL:

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	13.42	28.86	10.35
Profit after tax (PAT)	1.23	1.29	0.46
Assets under management (AUM)	141.82	293.67	319.48
On-book gearing (x)	1.89	1.75	1.89
AUM / tangible net-worth (TNW) (x)	2.48	2.94	3.18
Gross non-performing assets (NPA) / gross stage 3 (%)	0.63%	1.36%	1.72%
Return on managed assets (ROMA) (%)	0.92%	0.50%	0.55%*
Capital adequacy ratio (CAR) (%)	40.41%	34.43%	31.84%

A: Audited; UA: Unaudited; Note: these are latest available financial results

*Annualised

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debentures-Non Convertible Debentures	MCA	Simple	Proposed	-	-	-	50.00	CARE BBB; Stable
Fund-based-LT/ST	RBI	Simple	Proposed	-	-	-	80.76	CARE BBB; Stable / CARE A3+
Fund-based-LT/ST	RBI	Simple	-	-	-	28-03-2031	169.24	CARE BBB; Stable / CARE A3+

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based-LT/ST	LT/ST	250.00	CARE BBB; Stable / CARE A3+	-	1)CARE BBB; Stable / CARE A3+ (04-Mar-26)	-	-
2	Debentures-Non Convertible Debentures	LT	50.00	CARE BBB; Stable				

LT/ST: Long term/Short term; LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Mradul Mishra Director CARE Ratings Limited Phone: +91 22 6754 3596 E-mail: mradul.mishra@careedge.in	Analytical Contacts Hardik Manharbhai Shah Director CARE Ratings Limited Phone: +91 22 6754 3591 E-mail: hardik.shah@careedge.in
Relationship Contact Pradeep Kumar V Senior Director CARE Ratings Limited Phone: +044 2850 1001 E-mail: pradeep.kumar@careedge.in	Jitendra Meghrajani Associate Director CARE Ratings Limited Phone: +91 22 6754 3526 E-mail: Jitendra.Meghrajani@careedge.in
	Pranjal Mulekar Lead Analyst CARE Ratings Limited E-mail: Pranjal.mulekar@careedge.in

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